

SLC Agrícola

Initiating Coverage with an Outperform Rating

Outperform

Current Price R\$19.09

Target Price R\$23.00

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Initiating with an Outperform rating at R\$23/share, 35% Total Return to Shareholders (TRS)

We are initiating coverage of SLC Agrícola with an Outperform rating and a R\$23/share target price for 2024, indicating potential 20% upside and 35% TRS (including a 15% dividend yield for the next two years). Our target price is a 50/50 blend between DCF (R\$20/share) and land value (R\$25/share). We believe the 15% decline in the stock price since August 2023 is excessive. The challenging conditions in the 2023/24 season are already reflected in the stock price, in our view, and we now see a narrative of growing yields, planting area expansion, and stable costs in a potential La Niña scenario, all of which are favorable for SLC.

Visibility for the 2024/25 season starts to improve amid the La Niña scenario

The 2023/24 season has been difficult for SLC due to (i) a reduced planting area, (ii) yield disruptions, and (iii) declining prices. We consider these challenges already accounted for in the current stock price. For 2024/25, we anticipate (i) recovering yields, (ii) significant growth in the leased area, and (iii) deflation in input costs. Consequently, we expect EBITDA in 2024/25 to grow from R\$2.1 billion in 2024 to R\$2.8 billion in 2025.

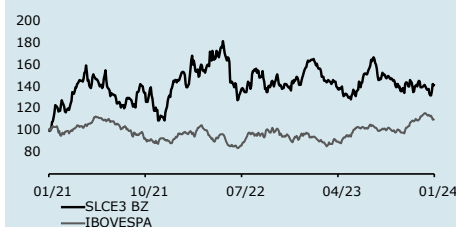
SLC is trading at a 28% discount to its land bank

SLC is trading at a 28% discount to its own land bank and 20% below our fair valuation of the current portfolio net of 2023 and 2024 dividends. With normalized yields, we project SLC's return on its R\$18 billion land bank at 10%, versus its leasing cost of 5.6%. This indicates the company has been able to capture 44% of the value from leased land appraisals. Therefore, increasing the leased area should further elevate the discount, creating a favorable balance of risks.

2024 should be a good year for leasing in Brazil

We forecast 2024 to be a positive year for SLC to expand its leased area. The seasons leading up to 2023/24 were highly favorable for growers, marked by a sharp rise in commodity prices. The production downturn in the Mid-West region makes it challenging for landlords to achieve the same operating yields as before, making leasing more attractive. We expect SLC to increase its planted area by 70,000 hectares, including 20,000 hectares not planted in 2023/24 and 50,000 hectares of new area.

Initiating Coverage with an Outperform Rating and a YE2024 TP of R\$23.00

Relative Performance (R\$)


Source: FactSet.

Company Data, January 23, 2024 (closing price)

	SLCE3 BZ	(R\$ mn)	2022A	2023E	2024E
Bloomberg code	SLCE3 BZ				
Current Price	R\$19.09				
Target Price (YE 2024)	R\$23.00				
Price Perf Last 12 Mth (Absolute)	(14.85)%				
52 Week Range (R\$)	17.09 - 24.13				
Market Cap (R\$ mn)	8,404	Revenues	7,373	7,459	6,562
Free Float (%)	0.4	EBITDA	3,047	2,802	2,176
3-Mth Avg daily vol (R\$ mn)	65	EBIT	2,505	2,085	1,495
Outst shares (mn)	440	Net Profit	1,267	1,236	838
		FCFE	243	424	609
		Net Debt	2,218	2,362	2,207
		P/E (x)	3.2	6.8	10.0
		EV/EBITDA (x)	2.1	3.8	4.9
		FCFE Yield (%)	6.0	5.0	7.2
		Div Yield (%)	13.8	7.2	7.4
		Net Debt/EBITDA (x)	0.7	0.8	1.0
(R\$)	2022A	2023E	2024E		
Adj EPS	6.05	2.81	1.90		
BVPS	24.13	11.43	12.39		
DPS	2.93	1.37	1.40		

Sources: FactSet, Company Data and Santander estimates.

Important Disclosures/Certifications are in the "Important Disclosures" section of this report.

U.S. investors' inquiries should be directed to Santander US Capital Markets LLC at (212) 583-4629 / (212) 350-3918.

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Table 1. Key Company Data

	R\$			US\$		
	2022A	2023E	2024E	2022A	2023E	2024E
P&L Account						
Revenues	7,373	7,459	6,562	1,427	1,485	1,299
EBITDA	3,047	2,802	2,176	590	558	431
EBITDA YoY Change (%)	80.8	(8.0)	(22.4)	88.9	(5.4)	(22.8)
EBITDA as % of Revenue	41.3	37.6	33.2	41.3	37.6	33.2
EBIT	2,505	2,085	1,495	485	415	296
Net Financial Result	(699)	(363)	(306)	(135)	(72)	(61)
Associates	0	0	0	0	0	0
Taxes	(469)	(376)	(253)	(91)	(75)	(50)
Minorities	(69)	(112)	(98)	(13)	(22)	(19)
Net Profit	1,267	1,236	838	245	246	166
Adj Net Profit	1,267	1,236	838	245	246	166
YoY Change (%)	19.3	(2.5)	(32.2)	24.7	0.2	(32.5)
as % of Revenues	17.2	16.6	12.8	17.2	16.6	12.8
Cash Flow						
EBITDA	3,047	2,802	2,176	590	558	431
Lease Payments	(575)	(522)	(442)	(111)	(104)	(88)
Changes in Wkg. Capital	(201)	93	119	(39)	19	24
Capital Expenditures	(609)	(1,021)	(522)	(118)	(203)	(103)
Cash Financials	(699)	(363)	(306)	(135)	(72)	(61)
Cash Taxes	(651)	(455)	(318)	(126)	(90)	(63)
Other Cash Items	(69)	(112)	(98)	(13)	(22)	(19)
Free Cash Flow to Equity	243	424	609	47	84	121
Other Invest./(Divest.)	0	0	0	0	0	0
Dividends	558	602	618	108	120	122
Capital Increases/Other	(30)	(183)	0	(6)	(36)	0
Change in Net Fin. Debt	926	300	300	179	60	59
Balance Sheet						
Cash and Equivalents	1,236	1,391	1,846	234	287	352
Current Assets	5,797	5,673	5,453	1,096	1,172	1,039
Goodwill	131	131	131	25	27	25
Non-Curr Assets (ex g'will)	7,704	11,388	10,784	1,456	2,352	2,054
Total Assets	14,868	18,584	18,215	2,811	3,839	3,470
Current Liabilities	4,590	5,061	4,611	868	1,045	878
Non-Current Liabilities	5,382	8,080	7,644	1,017	1,669	1,456
Minorities	298	410	508	56	85	97
Shareholders' Equity	4,599	5,034	5,453	869	1,040	1,039
Total Liabilities & Equity	14,868	18,584	18,215	2,811	3,839	3,470
Net Financial Debt	2,218	2,362	2,207	419	488	420

Source: Company Data and Santander estimates.

Investment Case

SLC is a story of (i) growing yields, (ii) greater planted area, and (iii) stable costs amid a potential La Nina ahead. The tough weather conditions in the 2023-24 Brazilian crop season are already priced in and focus is moving through 24/25 season. Moreover, we expect SLC to be able to capture 45% of the economic value of the land bank of the leased assets, while the company is currently trading at a 28% discount to its owned land bank.

Key Value Drivers

SLC has outperformed Brazil's average productivity yields in 70% of the crops since 2010. We estimate SLC can deliver a 10% return on its entire land bank (including owned and leased areas), compared to its leasing cost of 5.5%. This demonstrates the company's ability to capture 45% of the value from leased land appraisals. Hence, an increase in the leased area should further elevate the discount, creating a favorable balance of risks.

Investment Risks

Downside risks include: (i) a slowdown in cotton demand from Asia and a deceleration in U.S. apparel consumption, (ii) failure to achieve expected growth in the leased area, (iii) revaluation of leasing costs, (iv) additional crop losses, and (v) a rebound in crop input prices.

Catalysts

(i) Greater planted areas, (ii) growing yields, (iii) re-evaluation of SLC's landbank, (iv) higher commodities prices (corn, soybean, cotton), (v) U.S. economic growth and additional apparel demand in the country.

Company Description

SLC Agrícola is among the world's largest grain and fiber producers, specializing in cotton, soybean, and corn production. It also owns the SLC Sementes brand, producing and selling soybean and cotton seeds. The company operates 22 production sites across 7 Brazilian states, totaling 671,946 hectares (2021-22 crop). SLC's business model emphasizes a modern production system characterized by large-scale, standardized production units, advanced technology, strict cost control, and a commitment to social and environmental responsibility.

Better Yields and Expanding Area in 2024/25

We are initiating coverage of SLC Agrícola with an Outperform rating and a R\$23/share target price for 2024, indicating potential 20% upside and 35% TRS. Our target price is a 50/50 blend between DCF (R\$20/share) and land value (R\$25/share). We believe the 15% decline in the stock price since August 2023 is excessive. We believe the challenging conditions in the 2023/24 season are already reflected in the stock price, and we now see a narrative of growing yields, planting area expansion, and stable costs in a potential La Niña scenario, all of which are favorable for SLC.

Investors are gradually shifting focus from the 2023/24 season's challenges toward a rebound in yields and growth. We forecast SLC will add 50,000 hectares of planted area by adding 28,000 hectares of leased area, due to the incremental aspect of the second crop in Brazil. Additionally, we foresee the company recovering 20,000 hectares of abandoned area, leading to a total planted area growth of 72,000 hectares, or 11% growth year-over-year. EBITDA after leasing for 2024/25 is projected to reach R\$2.3 billion, 35% higher year-over-year.

Growth is not the only angle for SLC. We also see a value narrative. SLC is currently trading at a 28% discount to its own land bank, and 20% below our fair valuation of the current portfolio. With normalized yields, we estimate SLC's return on its R\$18 billion land bank at 10%, versus its leasing cost of 5.5%. Thus, expanding the leased area should further elevate the discount, thereby creating a positive balance of risks, in our view.

The primary risks to our thesis are: (i) a slowdown in cotton demand from Asia and in U.S. apparel consumption, (ii) failure to achieve expected growth in the leased area, (iii) revaluation of leasing costs, (iv) additional crop losses, and (v) a rebound in crop input prices.

These risks could be mitigated by (i) high production costs in the U.S. preventing farmers from breaking even, (ii) improved conditions in the leasing market due to recent crop losses, (iii) a slowdown in leasing prices, (iv) the potential La Nina in 2H24, and (v) high inventories of inputs locally.

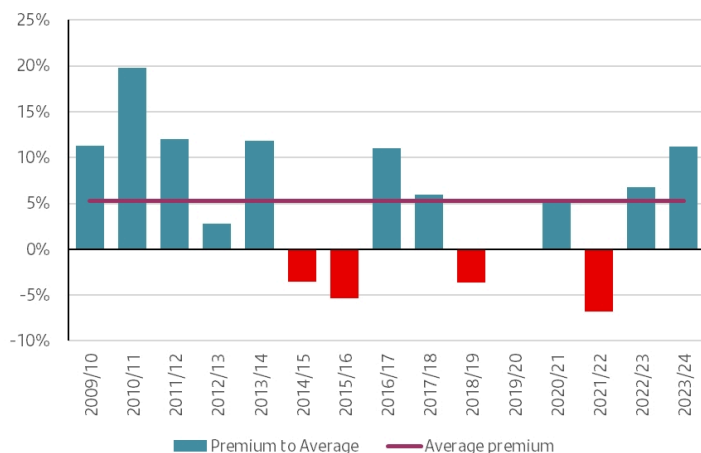
The Missing Link in Land Valuation

We are initiating coverage of SLC Agrícola with a blended valuation: 50% Discounted Cash Flow (DCF) and 50% adjusted value of land appraisals. We believe the ultimate value of the land is determined by the return one can generate from it over time, whether leased or not. We estimate SLC can capture 44% of the economic value of its leased land bank, indicating the company is trading at a 28% discount to its owned land bank. This discount appears excessive to us given the prospects of lower costs, yield recovery, and further growth of the planted area.

SLC's return on its land bank is estimated at 10% with normalized yields

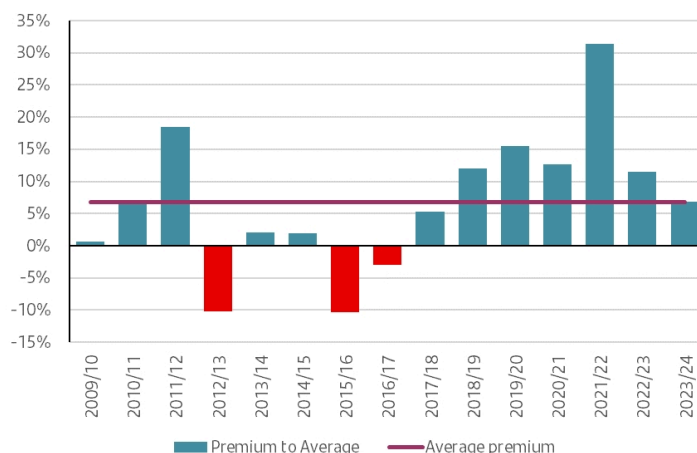
We estimate SLC is able to deliver a robust return on its complete land bank (including owned and leased areas). Having above-average yields and low costs are the two main factors enabling the company to achieve such high levels of performance. Over the last 14 years, SLC has outperformed the country's average in 70% of the seasons.

Figure 1 - SLC's Cotton Yield Premium to the Brazilian Average (%)



Source: CONAB, SLC, Santander

Figure 2 - SLC's Soybean Yield Premium to the Brazilian Average (%)



Source: CONAB, SLC, Santander

Leasing yields are running at a 5.6% rate

SLC's latest land appraisal indicates a post-tax value of R\$10.2 billion at a 100% stake, or R\$9.7 billion adjusted for its stake in SLC LandCo (a joint venture in which the company holds an 81% stake). Our primary assumptions suggest that leasing in Mato Grosso runs at 17 bags of soy, and in the MATOPIBA region, 8.5 bags. Thus, its fully owned land, which is 50% in Mato Grosso, is estimated to cost 14 bags of soy in a potential sale and leaseback operation, while SLC LandCo would run at 10 bags per hectare. We estimate leasing yields for fully owned land and its JV to average 6% and 5.3%, respectively.

Figure 3 - SLC's Landbank

	Own Land	SLC LandCo	Owned + JV	Leased Area	Land bank
Value of land (R\$m)	7,830	1,919	9,749	8,003	17,752
Stake in the land	100%	81%	96%	100%	98%
Value of land at 100% (R\$m)	7,830	2,362	10,192	8,003	18,196
Owned area (k ha)	233	87	320	224	544
Leasing cost (bag)	14	10	13	14	13.36
Soy bag (R\$/60kg)	143	143	143	143	143
Leasing cost (R\$m)	467	124	591	449	1,040
Leasing Yield	6.0%	5.3%	5.6%	5.6%	5.6%

Source: SLC, Santander estimates

We estimate SLC's land bank to be valued at R\$18 billion

SLC leases 224,000 hectares, 145,000 of which are leased from Terra Santa. In 2024, we estimate an average leasing cost of 14 bags per hectare, or R\$450 million at a soy price of R\$140/bag. This values the leased area at R\$8 billion and puts the total land bank of the company at R\$18 billion. In a scenario of an estimated normalized

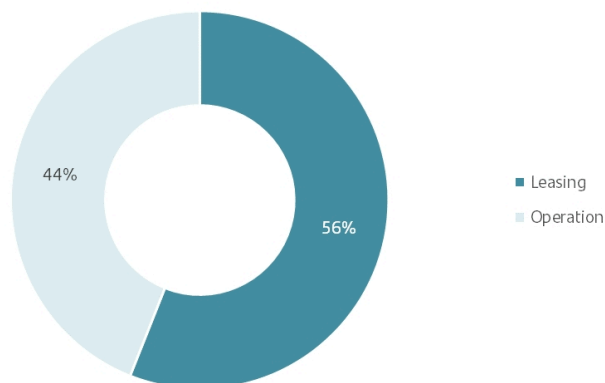
EBITDA before leasing of R\$2.8 billion, and an effective tax rate excluding the usage of Non-Operating Losses at 28%, SLC would have an average return of 10% over its total land bank.

Figure 4 - SLC's Return on Land Bank vs. Leasing Yield



Source: SLC, Santander

Figure 5 - Breakdown of return over leased land (%)

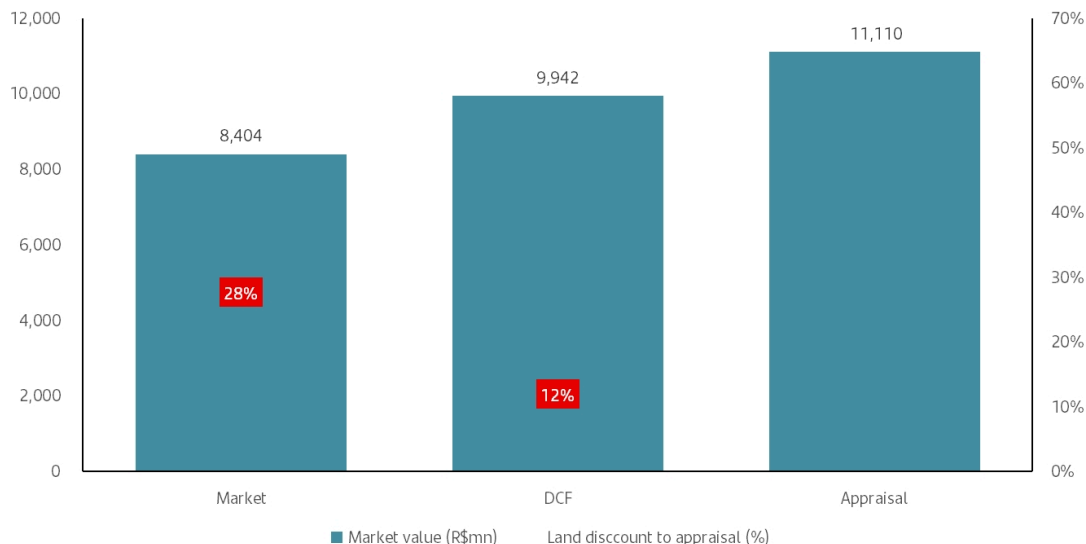


Source: SLC, Santander

SLC is trading its land value at a 28% discount to land value

SLC's 10% return on its land bank and 5.6% weighted leasing yield indicates the company retains 44% of the value of the leased area land bank. As such, the implied value of the leased assets in SLC's results is estimated to be R\$3.5 billion. Assuming the company closes 2024 at 1.3x net debt to EBITDA, we see the company trading at a residual enterprise value excluding leased assets at R\$6.9 billion, a 28% discount to land appraisal valuation.

Figure 6 - SLC's Land Market Value (R\$m) and Land Discount to Appraisal (%)



Source: SLC, Santander estimates

A Blended Model is the Way to Value Operations and Land

We are initiating coverage on SLC with an Outperform rating and a R\$23/share 2024 target price, with potential 20% upside and 35% TRS. Our target price is an equal-weight blend between DCF (R\$20/share) and land value (R\$25/share). This approach captures the real estate gains of the land value based on yield growth while normalizing commodity cycles over time. We believe SLC's attractive valuation is grounded on above-average yields, lower-than-average production costs, and the ability to generate value accretion on new leasing agreements.

Our main long-term operational assumptions for SLC include: (i) the yearly addition of 35,000 hectares of leased area, (ii) a 0.5% yield growth on a normalized basis due to technology incorporation, (iii) stable margins of 37% due to the long-term correlation between crop input prices and commodity prices, and (iv) stable leasing prices and profit sharing between landlords and operators.

We see SLC trading at a potential 28% discount to its own land bank, while providing an attractive 35% Total Return to Shareholders (TRS), consisting of potential 20% upside with two years of a 15% dividend yield over the next two years.

Our DCF analysis considers: (i) a cost of equity (ke) of 13.2% and (ii) a long-term growth rate of 4%. Our adjusted value of land appraisals considers a post-tax value of R\$10.2 billion at a 100% stake, or R\$9.7 billion adjusted for its stake in SLC LandCo (a joint venture), with a leasing yield of 5.6% and a leasing cost of R\$591 million.

Figure 7 - SLC's Key Figures

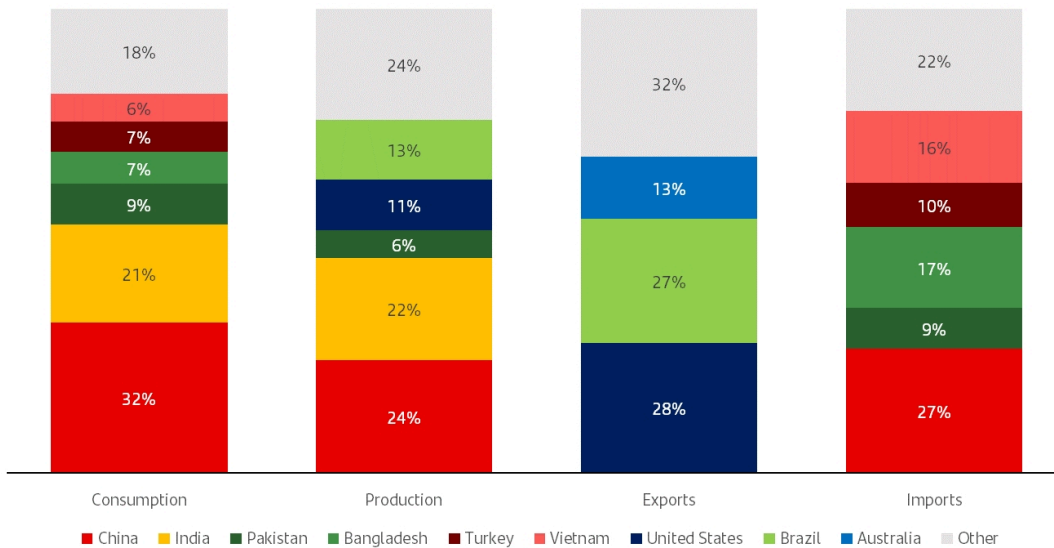
	Unit	2023	2024	2025	2026
Net Revenues	R\$mn	7,459	6,561	7,677	8,459
EBITDA	R\$mn	2,802	2,174	2,854	3,124
Leasing	R\$mn	(522)	(442)	(502)	(564)
EBITDA after leasing	R\$mn	2,281	1,732	2,352	2,561
Margin	%	31%	26%	31%	30%
Net Income	R\$mn	1,271	856	1,297	1,455
Cotton price*	US\$/pound	87.8	80.5	75.1	77.2
Soy price*	US\$/bu	12.2	10.6	10.4	10.6
Corn price*	US\$/bu	4.8	3.9	3.5	3.6
Cotton yield	kg/he	2,037	1,951	1,984	1,993
Soy yield	kg/he	3,910	3,667	3,972	3,992
Corn yield	kg/he	7,750	7,588	7,664	7,702
Planted area	k he	674	652	724	759
Leased area	k he	232	224	252	272
Leasing cost	soy bags	15	14	14	14
Cost per hectare	R\$/he	6.9	6.8	6.7	7.1

Source: Santander estimates, SLC

Cotton: Slowdown in Prices is Pressuring the U.S. Out of the Market

Cotton, one of the few commodities not related to food consumption, is primarily used by the textile and home furnishing industries. Major producers include India, China, the U.S., and Brazil, with Brazil having developed a structural advantage due to its two-crop system, which allows for better returns for farmers and lower production costs. Cotton is mostly consumed in China, India, Pakistan, Bangladesh, and Vietnam, which then export textile products globally.

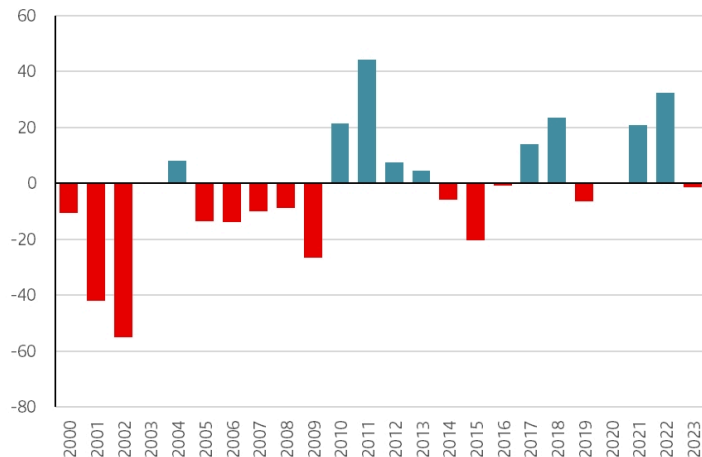
Figure 8 - Global Cotton Supply and Demand Balance



Source: USDA

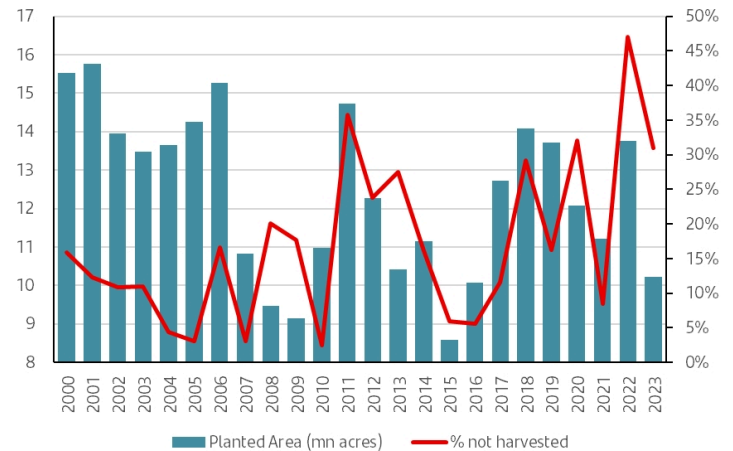
The current U.S. average cost of cotton production is US\$0.82/pound, 4% higher than in Brazil's Mato Grosso region, responsible for 70% of the country's production.

Figure 9 - U.S. Cotton P&L



Source: USDA, Bloomberg, Santander

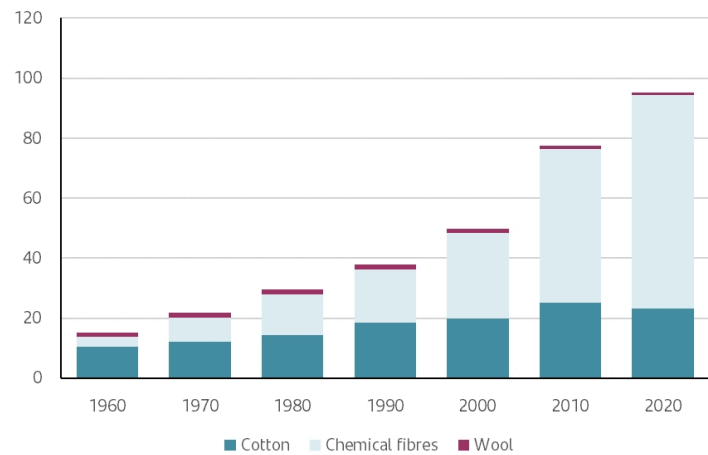
Figure 10 - Global Cotton Planted Area (mn acres)



Source: USDA

Although cotton demand has recently shown signs of deceleration, we see a long-term goal of decarbonization helping cotton to reclaim part of its production share that is not currently incorporated into our US\$0.8/pound price estimate for cotton.

Figure 11 - Global Fabric Consumption (mt)



Source: OECD

Figure 12 - CBOT Cotton Future Prices (US\$/bushel)

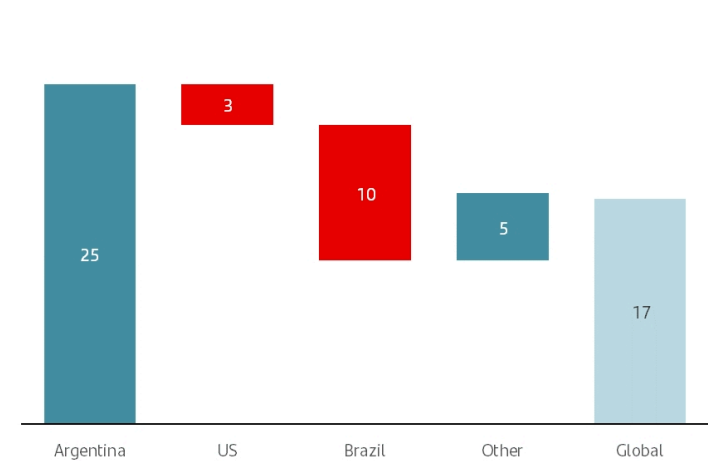


Source: CBOT, Bloomberg

Soy: Recovery in Yields in the U.S. and Argentina Is at Risk

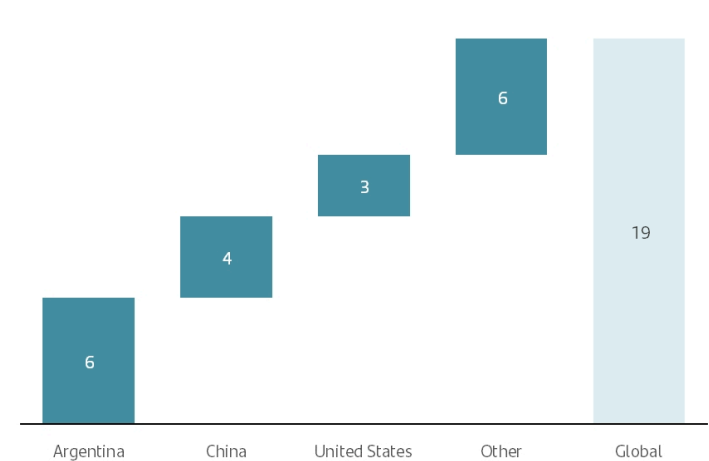
Soy prices have fallen 20% since July 2023 due to an increased supply in the U.S. and Argentina and a slowdown in demand for renewables and feed. Argentina's significant production increase is a reflection of a very strong El Niño following a La Niña event.

Figure 13 - Soybean Production YoY Growth (%)



Source: USDA, CONAB, Bolsa de Cereales

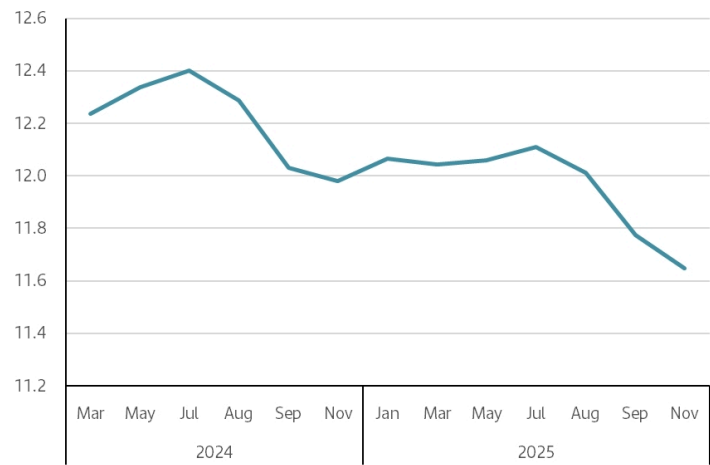
Figure 14 - Soybean Demand YoY Growth (%)



Source: USDA, CONAB

We expect prices to stabilize at US\$12.2/bushel, as anticipated in the futures curve. However, as the 2024/25 season develops, we foresee a reduction in input prices boosting Brazil's competitive advantage in producing corn and soy.

Figure 15 - CBOT Soybean Future Prices (US\$/bushel)



Source: CBOT, Bloomberg, Santander

Figure 16 - CBOT Soybean Historical Prices (US\$/bushel)



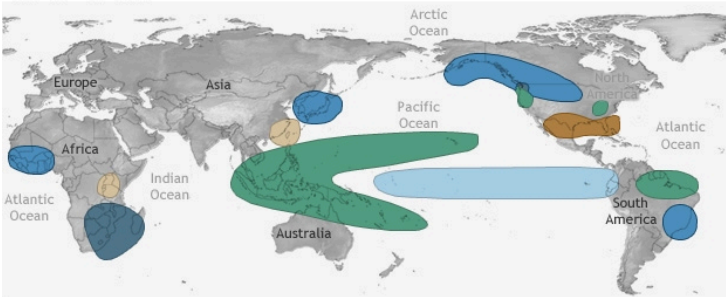
Source: CBOT, Bloomberg, Santander

Risks of a La Niña event pose a significant risk to the soy market by potentially reducing production in Argentina, the U.S., and Rio Grande do Sul state in Brazil, which accounts for a 45% portion of global supply. Nonetheless, La Niña is generally positive for SLC, as the MATOPIBA (a region where the four states intersect: Maranhão, Tocantins, Piauí, and Bahia) rain levels are usually higher than average, and the Mid-West region should achieve its full yield potential, despite being a neutral zone for La Niña impacts. The International Research Institute for Climate and Society (IRI) indicates an increasing risk of La Niña for the upcoming crop season.

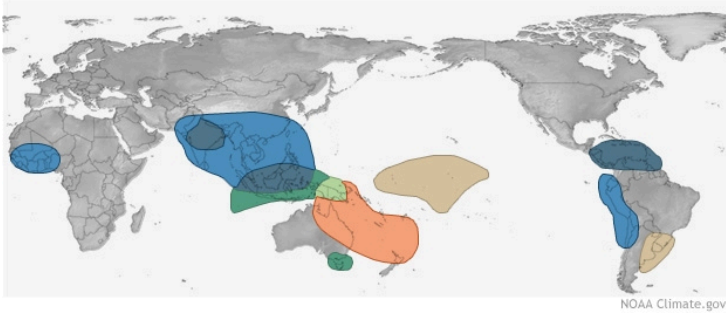
Figure 17 - Global La Niña Impacts

LA NIÑA CLIMATE IMPACTS

December-February

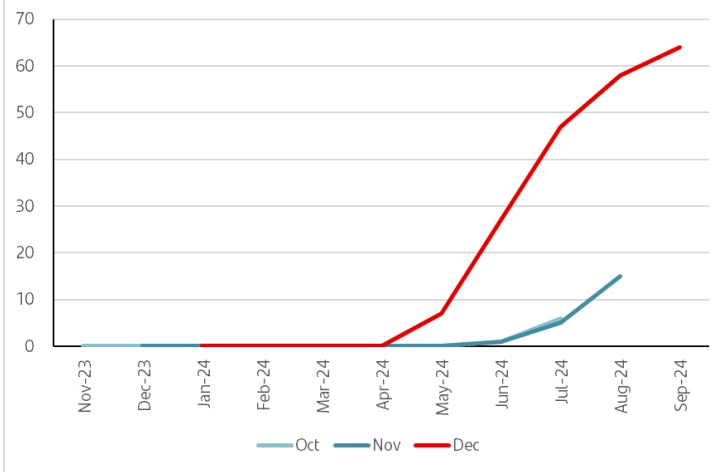


June-August



Source: NOAA

Figure 18 - La Niña Probability Forecast (%)

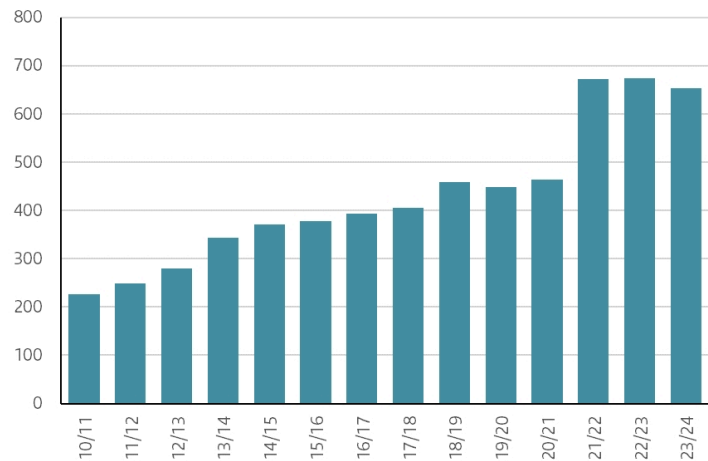


Source: IRI

SLC is the Largest Player in the Foremost Country to Produce Grains

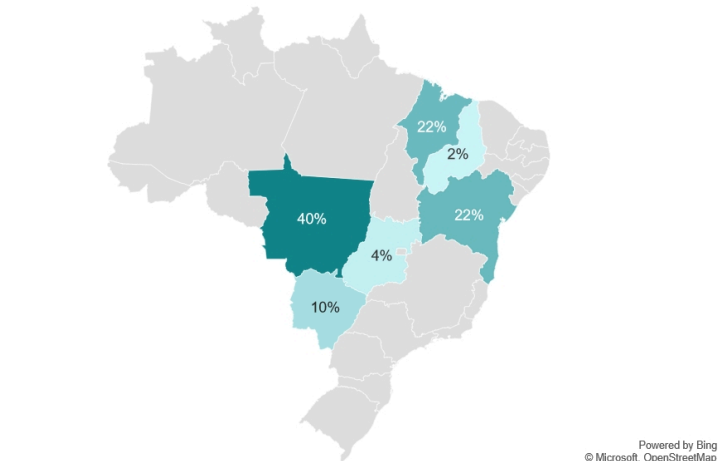
SLC is the largest player in the optimal country for grain production, Brazil, given its two crop seasons. SLC runs 585,000 hectares with 674,000 hectares of planted area across two main regions: the Mid-West and MATOPIBA. SLC owns 60% of its land and leases the remainder, while its land bank is mature, and the company does not convert forests into grain production areas.

Figure 19 - SLC's Total Planted Areas (k hectares)



Source: SLC

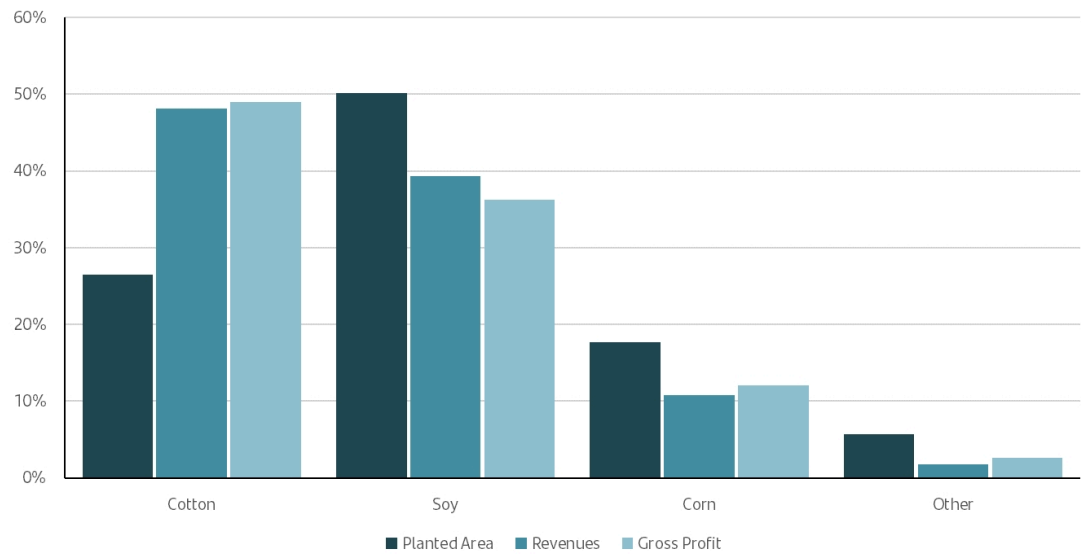
Figure 20 - Land distribution per state



Source: SLC Agrícola

SLC's main crops are cotton, soy, and corn, with cotton being the largest revenue generator in the 22/23 season (48%). The business case centers around achieving higher-than-average yields through scale and technology for more efficient operations.

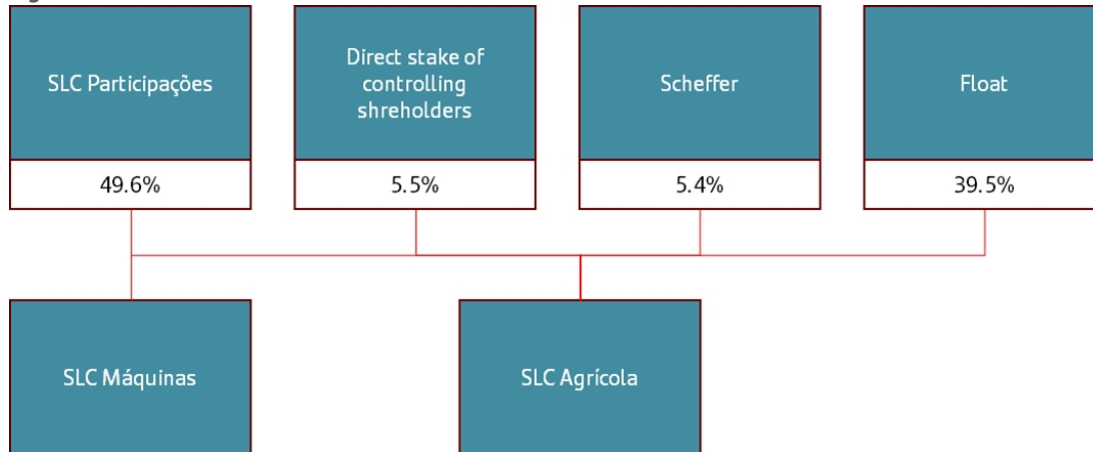
Figure 21 - SLC's margins by product (%)



Source: SLC, Santander

SLC is a family-owned business controlled by the Logemman family, who holds 55% of the shares through SLC Participações and direct stakes in SLC. The holding has five family groups virtually even divided. The Scheffer family, who controls 215k hectares of crop land, has recently acquired a 5% stake in SLC.

Figure 22 - SLC Shareholders' Structure



Source: SLC

Despite being family-owned, SLC's leadership and board have extensive industry experience, with only one family member involved in day-to-day operations, focusing on innovation. The company's board and executive team boast significant tenure within the company and the industry, contributing to a strong retention of middle management and eligibility for long-term compensation packages.

Figure 23 - SLC's Board of Directors

Board Member	Years of experience	Years in the industry	Years in SLC	Controlling shareholder
Eduardo Logemann	> 35	> 35	> 35	Yes
Jorge Logemann	> 35	> 35	> 35	Yes
André Pessoa	> 25	27	11	No
Osvaldo Schirmer	na	11	11	No
Fernando Reinach	na	7	7	No
Adriana dos Santos	> 35	2	2	No

Source: SLC

Figure 24 - SLC's Senior Management

Executive	Years of experience	Years in the industry	Years in SLC	Controlling shareholder
Aurélío Pavinato	31	31	31	No
Ivo Brum	28	14	14	No
Gustavo Lunardi	27	27	15	No
Leonardo Celini	22	22	12	No
Alvaro Gonçalves	38	38	38	No

Source: SLC

Aurelio Pavinato (CEO)

Mr. Pavinato holds a degree in Agronomic Engineering from the Federal University of Santa Maria (UFSM), with a master's and doctorate degree in Soil Science from the Federal University of Rio Grande do Sul (UFRGS) and an extension course from the Kellogg School of Management in Chicago in partnership with Fundação Dom Cabral. Prior to commencing SLC's CEO, Mr. Pavinato served as Production Director (2008-2012).

Ivo Marcon Brum (CFO)

Mr. Brum holds a degree in Accounting from Pontifical Catholic University of Rio Grande do Sul (PUC/RS), a Master Degree in Project Management from Fundação Getúlio Vargas (FGV) and in Business Management from PUC/RS, as well as an extension course from Kellogg School of Management of Chicago in partnership with Fundação Dom Cabral. Prior to joining SLC, Mr. Brum served as Controllershship Manager at International Industria Automotiva of South America and Administrative and Compliance Director of the group NSG Capital.

Risks; Main Yellow Flags are Cotton Demand and Leasing

Main concerns for our thesis are: (i) the slowdown in cotton demand from Asia and in U.S. apparel consumption, (ii) the inability to achieve expected growth in the leased area, (iii) revaluation of leasing costs, (iv) additional crop losses, and (v) a rebound in crop input prices.

These risks are potentially mitigated by high production costs in the U.S. preventing farmer profitability, improved conditions in the leasing market due to recent crop losses, a slowdown in leasing prices in major production regions, the potential for a La Niña event in the second half of 2024, and high local inventories of inputs.

Figure 25 - SLC's Scenario Analysis

		Input			PO		Upside/downside	
		Bull	Base	Bear	Bull	Bear	Bull	Bear
Cotton price	US\$/bu	90	80	70	26	20	37%	5%
Yearly area addition	k he	50	35	0	24	21	27%	11%
Leasing cost	bags/he	12	14	16	24	22	27%	16%
Percentage of potential yield	%	110%	100%	90%	27	18	42%	-5%
Cost per hectare change	%	-5%	0%	5%	26	19	37%	0%

Source: Santander estimates

Santander vs Consensus

Figure 26 - SLC - Earnings Estimates, 2023-2025E (R\$ millions - IFRS)

BRL	2023E			2024E			2025E		
	Santander	Consensus	Δ%	Santander	Consensus	Δ%	Santander	Consensus	Δ%
Net Revenue	7,459	9,564	-22%	6,562	7,420	-12%	7,669	7,499	2%
Adj. EBITDA	2,802	2,941	-5%	2,176	2,489	-13%	2,846	2,521	13%
Adj. EBITDA Margin	37.6%	30.7%	682bps	33.2%	33.5%	-38bps	37.1%	33.6%	350bps
Net Income	1,236	1,400	-12%	838	1,068	-22%	1,300	1,072	21%

Source: Santander estimates, VisibleAlpha

Adjusted EBITDA is gross of leasing expenses

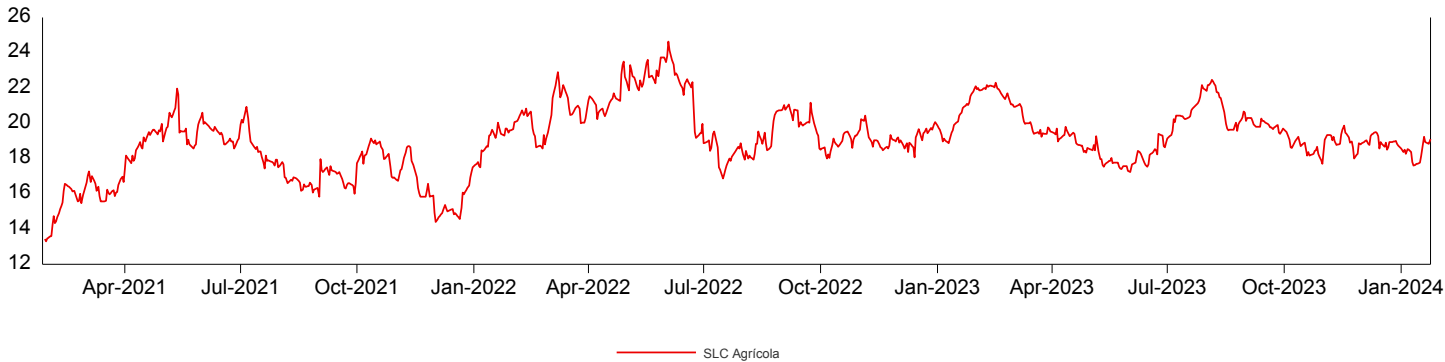
Other Companies Mentioned

Terra Santa (LAND3, CP: R\$16.65, Not Rated)

International Industria Automotiva of South America (Not Listed)

NSG Capital (Not Listed)

SLC Agrícola - Three-Year Stock Performance (R\$)



Sources: FactSet and Santander. *Note that our rating terminology changed on December 15th 2021. Prior to that, our current Outperform (O) was Buy (B); Neutral (N) was Hold (H); we maintain our naming convention for Underperform (U)

Valuation & Risks

Our year-end 2024 target price is 50/50 blended between (i) an 4-year DCF-based valuation, and (ii) adjusted value of land appraisals. Our DCF analysis considers: (i) ke of 13.2% and (ii) long-term growth rate of 4%. Our adjusted value of land appraisals considers a post-tax value of R\$10.2bn at 100% stake, or R\$9.7bn adjusted for its stake on SLC LandCo (JV), with a leasing yield of 5.6% and leasing cost of R\$591mn. Risks: (i) the slowdown in cotton demand from Asia and deceleration of the apparel consumption in the U.S., (ii) inability to deliver the expected growth in leased areas, (iii) re-valuation of leasing costs, (iv) additional crop losses and (v) a bounce back of crop input prices.

Key to Investment Codes*

Rating	Definition	% of Companies	
		Covered with This Rating	Provided with Investment Banking Services in the Past 12 months
Outperform	Expected to outperform the local market benchmark by more than 10%	61.37%	46.85%
Neutral	Expected to perform within a range of 0% to 10% above the local market benchmark	33.48%	38.46%
Underperform	Expected to underperform to local market benchmark	3.86%	33.33%
Under Review		1.29%	33.33%

The numbers above reflect our Latin American universe as of October 31, 2023.

For a discussion, if applicable, of the valuation methods used to determine the price targets included in this report and the risks to achieving these targets, please refer to the latest published research on these stocks. Research is available through your sales representative and other electronic systems.

Target prices are year-end 2024 unless otherwise specified. Recommendations are based on a total return basis (expected share price appreciation + prospective dividend yield) unless otherwise specified.

Stock price charts and rating histories for companies discussed in this report are also available by written request to Santander US Capital Markets LLC, 437 Madison Avenue, 6th Floor (Attn: Research Disclosures), New York, NY 10022 USA.

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The benchmark used for local market performance is the country risk of each country plus the 1-year U.S. Treasury yield plus 5.5% of equity risk premium, unless otherwise specified. The benchmark plus the 10.0% differential used to determine the rating is time adjusted to make it comparable with the total return of the stock over the same period. For additional information about our rating methodology, please call (212) 350 3974.

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